

Neutron Grants Foundation
(the "Company")

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF THE COMPANY

DATED 23 NOVEMBER 2023

1. INTERPRETATION

Unless otherwise defined herein, capitalised terms shall have the meanings set forth in the Articles of Association of the Company and the written resolutions of the Company dated 2 November 2023 (the "**Prior Resolutions**") and the Final Form Bylaws.

2. DIRECTOR'S INTERESTS

2.1 It is noted **THAT** the sole director of the Company (the "**Director**") declared their interests in the subject matter of these resolutions. Such Director is therefore to be considered interested in any contract or arrangement (or proposed contract or arrangement) (each an "**interested transaction**") with those parties and their affiliates, agents, delegates and all of their representatives and the foregoing shall be treated as general notice of such interests.

2.2 It is noted **THAT** no Interested Person has any objection to the Director voting in respect of any interested transaction notwithstanding that he may be interested therein and if he does so his vote shall be counted and he may be counted in the quorum at any meeting of the Director at which any such transaction shall come before the meeting for consideration.

3. ADOPTION OF FIRST BYLAWS

3.1 It is noted **THAT**:

- (a) under the Prior Resolutions the Company resolved to adopt Bylaws but the form appended to the Prior Resolutions was the draft form (the "**Draft Form**") and not the final form;
- (b) the final form of the Bylaws is now appended to these written resolutions (the "**Final Form**"); and
- (c) for the avoidance of doubt, the Director now wishes to confirm the Final Form as the first Bylaws of the Company in all respects.

3.2 It is resolved **THAT**:

- (a) the Draft Form be replaced in their entirety by the Final Form for all purposes;
- (b) the Final Form and the information contained therein be and are hereby approved, ratified and confirmed by the Company;

- (c) the Final Form be adopted as the first Bylaws of the Company in all respects and will to be treated by the Company as if effective from the date of the Company's incorporation.

4. ESTABLISHMENT OF GRANT PROGRAM, APPOINTMENT OF GRANT COMMITTEE MEMBERS AND APPROVAL OF AGREEMENTS AND OTHER MATTERS CONTEMPLATED BY GRANT PROGRAM

4.1 It is proposed **THAT** the director intends to cause the Company to:

- (a) establish a grant program as described in the Final Form Bylaws (the "**Grant Program**");
- (b) appoint the following persons to the roles described underneath in respect of the Grant Program:
 - (i) Jonathan Ige as the Grant Lead; and
 - (ii) each of David Rodriguez, Emir Izaddeen, and Chang Won Park as the Grant Reviewers(together, the "**Grant Committee Members**"); and
- (c) separately enter into with each Grant Committee Member a multisignature participation agreement substantially in the form appended to the Final Form Bylaws.

4.2 It is noted **THAT** the Director has received and carefully reviewed final drafts of each of the agreements mentioned above agreement (collectively, the "**Agreements**").

4.3 It is resolved **THAT**:

- (a) the entry into and performance by the Company of its obligations under the Grant Program would be in the long-term benefit and in the best commercial interests of the Company;
- (b) the Grant Program and the transactions contemplated by the Grant Program be approved;
- (c) the Grant Program be established;
- (d) the appointment of each Grant Committee Member as contemplated in the Bylaws be and are hereby approved;
- (e) the Company enter into the Agreements and the other documents, agreements and transactions contemplated by the Agreements and/or the Bylaws;
- (f) the form of the Agreements be approved on behalf of the Company subject to such amendments and additions thereto as any Director, or if applicable any Attorney or

Authorised Signatory (as defined below) in their absolute discretion and opinion deems appropriate, the signature of such Director any Attorney or Authorised Signatory on the Agreements being due evidence for all purposes of the approval of any such amendment or addition and the final terms thereof on behalf of the Company;

- (g) any Director be and is hereby authorised to sign the Agreements (as amended in accordance with these resolutions) in the name and on behalf of the Company;
- (h) the Company do give, make, sign, execute and deliver all such notes, deeds, agreements, letters, notices, certificates, acknowledgements, instructions, fee letters and other documents (whether of a like nature or not) (the "**Ancillary Documents**") as may in the sole opinion and absolute discretion of the Director or any Attorney or Authorised Signatory be considered necessary or desirable for the purpose of compliance with any condition precedent or the coming into effect of or otherwise giving effect to, consummating or completing or procuring the performance and completion of all or any of the transactions contemplated by or referred to in the Agreements and/or in connection with the transactions contemplated on the part of the Company, and the Company do all such acts and things as might, in the opinion and absolute discretion of the Director or any Attorney or Authorised Signatory, be necessary or desirable for the purposes stated above;
- (i) the Ancillary Documents be in such form as the Director or any Attorney or Authorised Signatory in their absolute discretion and opinion approve, the signature of any Director or any Attorney or Authorised Signatory on any of the Ancillary Documents being due evidence for all purposes of their approval of the terms thereof on behalf of the Company; and
- (j) the Agreements and Ancillary Documents, where required to be executed by the Company (whether under hand or by deed), be executed by the signature thereof of any Director or any Attorney or Authorised Signatory.

5. GENERAL AUTHORISATION

- 5.1 It is resolved **THAT** in connection with or to carry out the actions contemplated by the foregoing resolutions, any Director, officer or (if applicable) any attorney or duly authorised signatory of the Company (any such person being an "**Attorney**" or "**Authorised Signatory**" respectively) be, and such other persons as are authorised by any of them be, and each hereby is, authorised, in the name and on behalf of the Company, to do such further acts and things as any Director or officer or such duly authorised other person shall deem necessary or appropriate, including to do and perform (or cause to be done and performed), in the name and on behalf of the Company, all such acts and to sign, make, execute, deliver, issue or file (or cause to be signed, made, executed, delivered, issued or filed) with any person including any governmental authority or agency, all such agreements, documents, instruments, certificates, consents or waivers and all amendments to any such agreements, documents, instruments, certificates, consents or waivers and to pay, or cause to be paid, all

such payments, as any of them may deem necessary or advisable in order to carry out the intent of the foregoing resolutions, the authority for the doing of any such acts and things and the signing, making, execution, delivery, issue and filing of such of the foregoing to be conclusively evidenced thereby.

6. RATIFICATION OF PRIOR ACTIONS

It is resolved **THAT** any and all actions of the Company, or of any Director or officer or any Attorney taken in connection with the actions contemplated by the foregoing resolutions prior to the execution hereof be and are hereby ratified, confirmed, approved and adopted in all respects by the Company as fully as if such action(s) had been presented to for approval and approved by, all the Director prior to such action being taken.

[Signature page follows]

Signature Page

DocuSigned by:

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Jonathan Olanrewaju Ige
Director

Schedule
Final Form Bylaws

NEUTRON GRANTS FOUNDATION

FIRST BYLAWS

Adopted 23 November 2023

1 DEFINITIONS

“Acts” means the Foundation Companies Act (as amended) of the Cayman Islands and the Companies Act (as amended) of the Cayman Islands.

“Adverse Event” means (i) any fraud committed in connection with the Grant Program; (ii) any wilful or knowing material breach of any material term of the Foundation MOA, Foundation Articles, and/or Bylaws that would reasonably be expected to materially adversely impact the administration, quality or success of the Grant Program; or (iii) on the part of any Foundation Director (or Grant Committee Member, if not promptly removed and otherwise appropriately dealt with by the Foundation Director(s)), the commission of a felony or any crime of moral turpitude (or the Foundation Company's discovery of such having occurred in the past five (5) years), embezzling Foundation Company resources or using the Foundation Company for self-dealing or any illegal or conflicting purpose (including all actions taken as an ostensible or apparent representative or agent of the Foundation Company), or (iv) any Foundation Director entering or threatening to enter into legal conflict with the Foundation Company, knowing violation or disparagement of the Objects, or unavailability lasting a period of at least sixty (60) days from the first and thirty (30) days from the last bona fide contact attempt, with at least two such contact attempts required.

“Blockchain” means a blockchain or distributed ledger technology or other similar technology.

“Blockchain System” means the combination of (i) a Blockchain; and (ii) a network of devices operating software clients or software applications that jointly or individually store, validate, process transactions with respect to, update, resolve forks with respect to and otherwise maintain, read from and write to such Blockchain.

“Blockchain Tokens” means virtual currencies, tokens and other units of account or mediums of exchange that are implemented on a Blockchain System.

“Board Resolution” means, in respect of the Foundation Board of Directors, a board resolution passed in accordance with the Foundation Articles.

“Bylaws” means bylaws governing the Foundation Company as may be amended from time to time.

“Cayman Islands Law” means the rules, regulations and laws of the Cayman Islands from time to time.

“Grant Committee” means at any time, all of the Grant Committee Members collectively at such time.

“Grant Committee Member” means the Grant Lead and each Grant Reviewer.

“Grant Lead” means Jonathan Ige.

“Grant Program” means the Neutron Grant Program as further described in the Bylaws.

“Grant Reviewer” means each of David Rodriguez, Emir Izaddeen, and Chang Won Park.

“Foundation Articles” means the Articles of Association of the Foundation Company (as amended from time to time).

“Foundation Company” means the Neutron Grants Foundation, a Foundation Company limited by guarantee with no share capital, formed pursuant to the Foundation Companies Act (as amended).

“Foundation Board of Directors” means the board of directors of the Foundation Company who have certain powers and duties pursuant to the laws of the Cayman Islands and as further described in the Foundation Articles. The Foundation Board of Directors at any time is comprised of all Foundation Directors at such time.

“Foundation Director” means each director of the Foundation Company.

“Foundation MOA” means the Memorandum of Association of the Foundation Company (as amended from time to time).

“Foundation Supervisor” means the supervisor of the Foundation Company, which has the powers and duties pursuant to the laws of the Cayman Islands and as further described in the Foundation Articles.

“Multisig” means a smart contract that: (i) is configured to recognise a specified set of Private Keys (the **“Multisig Key Set”**); and (ii) the functions of which can only be executed in response to a transaction message that has been signed by the specified minimum number of Private Keys belonging to such set of Private Keys.

“Multisig Key” means, with respect to each Multisig, each Private Key belonging to the Multisig Key Set recognised by such Multisig.

“Neutron” means, at any time, the canonical Blockchain and virtual machine environment of the Neutron ‘mainnet’, as recognised by at least a majority of the Neutron Validators then being operated in good faith in the ordinary course of the network. As of the date of these ByLaws, Neutron is the Blockchain having ChainID ‘neutron-1’ as recognized by at least a majority of the Neutron Validators and registered in the Cosmos chain registry as <https://github.com/cosmos/chain-registry/blob/master/neutron/chain.json>.

“Neutron Community” means all persons utilising, relying on, securing or developing Neutron, including:

- (a) persons utilizing Neutron in an ‘end-user’ consumer capacity (e.g., storing or transferring Blockchain Tokens on Neutron, utilizing DeFi protocols on Neutron to trade, borrow, lend, market-make, etc., and other consumer use cases (the **“Neutron Users”**));
- (b) the holders of Voting NTRN;
- (c) the Neutron Validators;
- (d) persons researching and developing the Neutron Protocol (the **“Neutron Developers”**);

- (e) holders, users, traders, market makers, exchangers of \$NTRN, in their capacities as such (the “**NTRN Holders**”);
- (f) owners or operators of infrastructure that is necessary or desirable to the security or intended functioning of Neutron, including operators of liquidation ‘bots,’ providers of user interface software (web applications, wallet applications, block explorers, etc.) relevant to Neutron and providers of interchain relays, non-validating infrastructure nodes (eg RPC nodes) relevant to Neutron and validators of third-party Blockchain Systems that bridge assets to or from Neutron, in each case, in their capacities as such (the “**Neutron Infra Providers**”); and
- (g) persons researching and developing other protocols, software or applications whose activities are necessary or desirable for the security or intended functioning of Neutron, in their capacities as such (the “**Ancillary Developers**”).

“**Neutron DAO**” means the smart contract system governing the upgradeability and key parameters of Neutron through onchain transaction proposals voted on by the Voting NTRN, which is currently deployed to address `neutron1suhgf5svhu4usurvxlgn54ksxmn8gljarjtxqnapv8kjp4nrstdxvff` on Neutron.

“**Neutron DAO Approval**” means, with respect to any proposal, the affirmative vote of the requisite majority or plurality of voting power of the Neutron DAO necessary to approve or effectuate such proposal, as prescribed by the Neutron Protocol.

“**Neutron DAO Veto**” means, with respect to any Multisig transaction or other Smart Contract under control of the Foundation Company (or the Foundation Director(s) or Grant Committee Member(s) in connection with the Foundation Company’s activities), the affirmative vote of the amount of Voting NTRN required to veto, block or prevent the effectuation or completion of such transaction, as prescribed by the Neutron Protocol.

“**Neutron Nodes**” means, at any time, the internet-connected computers then running unaltered and correctly configured instances of the Neutron Protocol.

“**Neutron Protocol**” means the most up-to-date production release of Neutron client software at <https://github.com/neutron-org/neutron> or any successor thereto expressly determined by Neutron DAO Approval to constitute or form a part of the “Neutron Protocol”.

“**Neutron Validators**” means, at any time, the Neutron Nodes included in the active validator set for Neutron at such time in accordance with the Neutron Protocol.

“**NTRN**” means the native Blockchain Token of Neutron, denominated as ‘untrn’ in the Neutron Protocol.

“**Objects**” means the objects for which the Foundation Company has been established, as set out in the Foundation MOA.

“**Private Key**” means a cryptographic key that is intended to be secret and corresponds to at least one public key that: (i) is known to the Foundation Company; and (ii) constitutes a Blockchain System address.

“**Smart Contract**” means any software code commonly known as ‘smart contracts’ that are deployed to Blockchain Systems for operation by validators, including Multisigs.

“Voting NTRN” means any NTRN that is deposited, locked, staked, or otherwise committed to those certain smart contracts (or smart contract sub-accounts) recognized by the Neutron Protocol as ‘voting vaults’, which as of the date of the Bylaws are summarized at <https://docs.neutron.org/neutron/dao/overview/#neutron-bonding-vault>.

2 BACKGROUND

- 2.1 The Foundation Company has been incorporated to be adjacent to the Neutron DAO and to establish and administer the Grant Program for Neutron. The Grant Program seeks to achieve Neutron’s strategic goals within the Cosmos ecosystem, fostering innovation, development, and growth.
- 2.2 The Platform is aiming to be the default home for all the DeFi needs of users within the Cosmos ecosystem wherein users can interact with other AppChains and applications from the Neutron Homepage in a frictionless and user-friendly way.

3 OBJECTS, POWERS AND CONTROLS

3.1 General

The Foundation Company has the powers and objectives stated in its Foundation MOA and Foundation Articles and whatever powers that are or may be granted by the Acts. To the extent there is ever a conflict between the decisions made by the other decision-makers of the Foundation Company (including the Foundation Directors and Foundation Supervisors) and the Neutron DAO, the decisions of the Foundation Directors will prevail unless a different outcome is required under applicable laws or the Foundation Articles or the Bylaws.

3.2 Assets

Subject to the Bylaws, the Foundation Company may determine the appropriate use for all and any of its general funds, which include any Blockchain Tokens, assets and monies, and may establish a reasonable budget for its own operation and maintenance. Funds designated for grants and rendered services, without reference to a specific project or proposal, shall be considered un-earmarked and shall be deemed general funds for the purposes of this term. The Foundation Directors shall use commercially reasonable efforts to minimise or mitigate adverse market impacts to NTRN price, liquidity, etc., from any NTRN sales by the Foundation Company or the Grantees (including by facilitating OTC transactions when reasonably commercially practicable).

3.3 Automated Controls

The Bylaws mandate the use of certain programmatic, smart-contract-based controls over all or a substantial portion of the NTRN held by the Foundation Company (including the unvested portion of Vesting Compensation (as defined at Clause 7.2(b) below), ensuring that the Neutron DAO can give feedback to, and provide checks/balances against potential misconduct by, the Grant Committee Members. All or most of the Foundation Company’s assets shall be held in Smart Contracts empowering the Neutron DAO to directly provide feedback to, and exert certain checks and balances against potential misconduct by, the Grant Committee Members.

4 GRANT PROGRAM

4.1 Objectives

The objectives of the Grant Program are as follows:

- (a) position Neutron as the premier consumer chain on the Cosmos Hub, providing a secure platform for cross-chain DeFi application development and the primary hub for DeFi activities within the Cosmos ecosystem, enabling users to seamlessly interact with AppChains and applications from Neutron's Homebase and leveraging the economic security of the Cosmos Hub, offering a secure environment for developers to deploy contracts and enhance the success potential of their products;
- (b) provide funding to projects that align with Neutron's founding objectives and focus areas;
- (c) to allocate grants across various sectors, including education, research, protocol development, developer tooling, user-facing applications, and other strategic initiatives; and
- (d) to offer initial funding to selected grantees facilitating project development and accountability.

4.2 Areas of Focus

To best align with the strategic goals of Neutron ecosystem, the Grant Program will explicitly focus on the following areas for grant funding:

- (a) **Developer Tooling and Experience:** Proposals that improve the process of developing applications on Neutron such as developer documentation, RPC and Relay infrastructure, analytics, infrastructure around testnets, and hackathons.
- (b) **Protocol Development:** Efforts to introduce improvements to Neutron blockchain itself.
- (c) **User-facing Infrastructure:** Efforts to improve how users interact with Neutron directly in the form of wallet integrations, hardware wallet support, MEV-mitigation tools, and faucets.
- (d) **User-facing Applications:** Applications that users will directly use and get value from.
- (e) **Joint Funding:** Jointly fund opportunities with other Cosmos ecosystem Grants teams that seek to benefit the ecosystem as a whole.
- (f) **Research and Education:** Initiatives and content which has the aim of educating users and developers on Neutron ecosystem or pushing forward key technical areas of interest which can help add value to Neutron.

4.3 Nature of Grants

Grants may be in the form of NTRN or USDC, ranging from US\$1,000 to US\$500,000 in U.S.-dollar-denominated value.

4.4 Grant Approval Process

The approval process for each Grant shall be as set out in Schedule 1 as may be amended

from time to time in accordance with paragraph.

5 GRANT COMMITTEE MANAGEMENT

5.1 The Grant Program will be managed by the Foundation Directors, who may also act as the Grant Lead.

5.2 Committee Composition

The Grant Committee together will act as the overseer for the whole Grant Program and will administer through the Grant Program by conducting votes of the Grant Committee Members with their respective Multisig Keys through the Multisigs or other Smart Contracts owned or otherwise controlled by or on behalf of the Foundation Company, subject to any timelocks and any possibility of Neutron DAO Vetoes embedded in the Multisigs or other relevant Smart Contracts.

5.3 Grant Lead

The Grant Lead is tasked with setting up the Grant Program, reviewing applications, writing memos, and communicating the operations of the Grant Program to the wider community. The Grant Lead will work together with the Grant Reviewers to properly manage the Grant Program. The Grant Lead's duties include:

- (a) application review and processing;
- (b) grantee support (which shall include, without limitation, checking with the grantees, holding them accountable to the milestones, conveying feedback); and
- (c) operations and logistics (i.e. legal and financial matters).

5.4 Grant Reviewers

The Grant Reviewers shall support the Grant Lead, manage assets held in the Multisigs via their on-chain votes with their Private Keys, review and approve grantees, and generally help support the Grant Program.

5.5 Independent Contractors

The Foundation Directors may from time to time retain independent contractors or other types of service providers (including, without limitation, the Grant Reviewers). These individuals report to and are managed by the Foundation Directors.

6 ETHICAL STANDARDS AND ENFORCEMENT

6.1 Code of Ethics

The following rules shall apply to all Grant Committee Members and for the Foundation Company as a whole to adhere to:

- (a) **Disclosure:** Any conflicts of interest (investment, involvement, or personal relationship with other projects/members of projects) should be disclosed and made public upon joining the Grant Committee and maintained up-to-date in the Grant Committee Member's database.
- (b) **Recusal:** Grant Committee Members with a conflict of interest involving a project being reviewed by the Grant Committee should recuse themselves from participating

in the evaluation and should vote Abstain if a proposal directly related to the Grant Program is submitted.

- (c) **Self-Dealing:** Participants should refrain from voting on sending funds to themselves or organisations where any portion of those funds is expected to flow to them, their other projects, or anyone they have a close personal or economic relationship with.
- (d) **Ethical Trading:** Grant Committee Members are required to follow ethical trading standards in regard to NTRN and all Blockchain Tokens and other assets existing on Neutron or substantially related to Neutron.

(collectively, the “**Standards**”)

6.2 Enforcement

The Neutron DAO may enforce the Standards through its powers, if any, to pass Neutron DAO Approvals or Neutron DAO Vetos impacting the Multisigs or other relevant Smart Contracts, as applicable, including by passing Neutron DAO Proposals that may revoke certain assets from the Foundation Company or from the compensation/benefits of Foundation Directors or Grant Committee Members, as applicable, by revoking such assets from the Multisigs or other relevant Smart Contracts, as applicable. Furthermore, in the event of the occurrence of any Adverse Events or any reasonable grounds to believe an Adverse Event is likely to occur then an Emergency Supervisor will be appointed under Clause 9.4(b).

7 Compensation and Pay Structure of Grant Committee Members

7.1 Compensation

(a) Grant Lead

The Grant Lead shall be paid a fixed amount of \$3,300 per week.

(b) Grant Reviewer

Grant Reviewers shall be paid at a rate of \$100 per hour for up to 10 hours per week and a maximum of \$1,000 per week.

7.2 Composition of Pay

The pay shall be composed as follows:

- (a) 70% paid in USD equivalents (the “**Liquid Compensation**”), payable once every four weeks (in respect of the prior four weeks of service—to be pro-rated for partial service periods, if any)
- (b) 30% in NTRN, vesting linearly over a minimum of one year based on continuity of service to the Foundation Company over such two years, with a minimum of a six-month vesting ‘cliff’, to be enforced by depositing such NTRN into a smart contract that is subject to revocation of such NTRN by the Neutron DAO through a Neutron DAO Approval or a Neutron DAO Veto (the “**Vesting Compensation**”)

For certain Grant Committee Members, the Vesting Compensation may be paid in US dollars equivalents that vest on the same terms, if necessary or advisable for legal reasons, as determined by the Foundation Directors in consultation with outside legal counsel. In

addition, where necessary or advisable for legal reasons (as determined by the Foundation Directors in consultation with outside legal counsel), the remuneration for certain Grant Committee Members may be paid in USD equivalents.

7.3 Time-Based Compensation

Compensation limits shall be based on the expected time commitments from both the Grant Reviewers and Grant Lead, with the Grant Lead being expected to commit much more time to the program than the Grant Reviewers.

Position	Expected Average Hours*
Grant Lead	N/A
Grant Reviewers	10 hours per week Reviewers may contribute more time than the limit provided they agree to do so on a pro bono basis.

*pace a commercially reasonable allowance for paid time off, sick leave, etc.

7.4 Slashing

The unvested portion of a Grant Committee Member's Vesting Compensation may be slashed by the Director(s), the Supervisor or the Neutron DAO itself, as described under Clause 10 below. Whether claimed or not, the vested portion of Vesting Compensation shall be fully accrued to the Grant Committee Member.

7.5 Bonus

The Director(s) shall, as soon as reasonably practicable after the end of each six (6) month period of the Foundation's existence, submit one or more proposals to the Neutron DAO requesting that the Neutron DAO rank the performance of the Grant Committee over such prior period based on the KPI and Transparency Reporting outlined in Clause 8 below, with the following voting options:

- (a) **Outstanding Performance:** +25% of annual compensation in NTRN, deposited in the vesting contract for three (3) months
- (b) **Good Performance:** +12.5% annual compensation, deposited in the vesting contract
- (c) **Passable Performance:** no consequences but sends a signal to the Committee to improve performance.
- (d) **Poor Performance:** no consequences but sends a signal that slashing unvested rewards from the Incentive Funds (as defined below) of the Committee through a follow-up governance proposal may be in order.

The ranking awarded to the Foundation shall be deemed the aforementioned option that receives a plurality of the votes cast in the Neutron DAO Approval. Grant Committee Members must abstain from voting on bonus proposals. For the avoidance of doubt, it is acknowledged that breach of this voting agreement may lead to revocation of unvested

vesting awards or other punitive action by the Neutron DAO or result in legal action by the Foundation Company, which may be initiated on the Foundation Company's behalf by a Supervisor or Emergency Supervisor, as described below.

8 KPI AND TRANSPARENCY REPORTING

8.1 Key Performance Indicators

The following metrics shall be used to judge success of the Grant Program:

- (a) Number of applications;
- (b) Number of grants funded;
- (c) The extent to which grantees stick to milestones;
- (d) Users associated with Grant Program-funded projects;
- (e) TVL associated with Grant Program-funded projects;
- (f) Platform daily users;
- (g) Platform TVL;
- (h) Platform IBC Activity;
- (i) (For Grant Program-funded projects) TVL/NTRN Spend;
- (j) (For Grant Program-funded projects) Tx. Fee/NTRN Spend;
- (k) Market share dominance of economic activity driven by Grant Program-funded projects;
- (l) % TVL dominance;
- (m) Growth in unique user dominance within the Platform compared to non-funded projects;
- (n) Growth in unique user dominance compared with other Cosmos chains; and
- (o) Growth in fee and MEV generation dominance within Neutron

8.2 Transparency Reporting

In addition, quarterly reports shall be published that will include:

- (a) KPIs
- (b) Updates on the operations of the Grant Program
- (c) A detailed overview of funding activity and our grantees
- (d) Details on all relevant on-chain transactions

Such details will also be placed in a live dashboard on the Grant Program website.

9 FOUNDATION COMPANY STRUCTURE

9.1 Offices

The principal registered office of the Foundation Company shall be at offices of International

Corporation Services Ltd., PO Box 472, 2nd Floor, Harbour Place, 103 South Church Street, George Town, Grand Cayman KY1-1106, Cayman Islands. The Foundation Company shall have a designated registered office in accordance with law and shall maintain it continuously. The Foundation Company may have offices at other places within and outside the Cayman Islands.

9.2 **Members**

The Foundation Company shall not have members.

9.3 **Foundation Board of Directors**

(a) **General Powers**

Subject to the limitations of the Foundation MOA, Foundation Articles and the Bylaws, all corporate powers shall be exercised by or under the authority of the Foundation Directors, and the management and affairs of the Foundation Company and actions of the Foundation Directors pursuant thereto shall be governed in accordance with the Foundation Articles, Foundation MOA and the Bylaws.

(b) **Number, Qualification, Election, and Tenure**

The number of Foundation Directors shall be the number of Foundation Directors elected from time to time in accordance with the Foundation Articles and the Bylaws but shall never be less than one. The number of Foundation Directors may be increased or decreased from time to time by election in accordance with the Foundation Articles and the Bylaws. The Foundation Directors need not be members of the Foundation Company, Neutron DAO or residents of the Cayman Islands

(c) **Vacancies**

Any vacancy occurring in the Foundation Board of Directors may be filled by resolution for a majority of the Foundation Board of Directors (subject to Neutron DAO Veto). A Foundation Director(s)' appointment shall last until resignation, death, incapacitation, or an Adverse Event committed or knowingly facilitated by such Foundation Director.

If at any time (due to resignation, removal, death, expiration of terms, or other reasons or causes) there are no Foundation Directors, the Neutron DAO may appoint one or more Foundation Director(s) in a single Neutron DAO Approval.

(d) **Removal**

Foundation Directors may not be removed except by a majority of other Foundation Directors, by an Emergency Supervisor in accordance with a Neutron DAO Approval as necessary or desirable to handle an Adverse Event, or by voluntary resignation of the applicable Foundation Director. New Foundation Directors may be elected by another Foundation Director (subject to Neutron DAO Veto) for the unexpired terms of Foundation Directors removed from office. If the persons are not elected to fill the unexpired terms of removed Foundation Directors, and such failure of election is not intended to decrease the number of Foundation Directors to serve on the Foundation Board of Directors, then the vacancies unfilled shall be filled in accordance with provisions in the Bylaws for vacancies.

(e) **Minutes**

The Foundation Board of Directors shall keep minutes of all meetings and record them in the Foundation Company's minute book.

(f) **Budget and Disbursements**

The Foundation Board of Directors may budget for and otherwise pay reasonable costs, including reasonable remuneration of Foundation Directors. However, the Foundation Board of Directors shall not pay to its Foundation Directors a salary or similar compensation for service on the Foundation Board of Directors unless there are sufficient funds to do so after considering the Foundation Company's current and anticipated mandatory operating costs and all other duly authorized payables.

9.4 **Supervisor**

(a) **General**

The Foundation shall at all times have a Supervisor (as defined in the Foundation MOA). The initial Supervisor shall be:

International Protectors & Advisors Ltd. of Harbour Place,
2nd Floor, 103 South Church Street,
PO Box 472,
George Town, Grand Cayman KY1-1106, Cayman Islands.

(b) **General Powers**

Subject to the limitations of the Foundation MOA, Foundation Articles and the Bylaws, the Supervisor shall have a duty to the Foundation Company to ensure that its rules are enforced and can hold the Foundation Director(s) liable for any misconduct.

(c) **Number, Qualification, Election, and Tenure**

The Foundation Company is required at all times, to have at least one Foundation Supervisors who is able and willing to supervise the management of the Foundation Company. If this requirement is not met, the Director(s) shall appoint one or more Foundation Supervisors, on such terms as it thinks fit, to make up the shortfall, failing which the Foundation Directors shall apply to the Court under section 19(2) of the Foundation Companies Act.

(d) **Removal**

Supervisors of the Foundation Company may be removed in accordance with the Foundation MOA, Foundation Articles or the terms of their services agreement, with or without cause.

9.5 **Emergency Supervisor**

(a) **Appointment**

If there has been an Adverse Event, then, solely to the extent necessary or desirable to handle such Adverse Event, the Neutron DAO may appoint by Neutron DAO Approval one or more additional Foundation Supervisors (an "**Emergency Supervisor**") to investigate and oversee the Foundation during such times. A person

appointed by the Neutron DAO as Emergency Supervisor must affirmatively accept the role of Emergency Supervisor by written notice to the Neutron DAO and the Foundation Company within 30 days after the date of the relevant Neutron DAO Approval, and such appointment shall be deemed automatically effective on the date of the last such notice delivered. Failure to affirmatively accept such role as set forth above shall automatically be deemed a rejection of such role on the 30th day after the relevant Neutron DAO Approval. Once the Adverse Event has been handled in accordance with all applicable Neutron DAO Approvals, the Emergency Supervisor shall publicly resign from the Foundation Supervisor role.

(b) **Powers**

Once appointed by the Neutron DAO and having accepted such appointment, the Emergency Supervisor shall have the mandate to enforce the rules of the Foundation Company and act in the name of the Foundation Company and bring claims in the name of the Foundation Company, in each case, to the extent necessary or desirable to handle the applicable Adverse Event. The powers of the Emergency Supervisor shall include the power **to**, to the extent necessary or desirable handle the applicable Adverse Event:

- (A) appoint Foundation Director(s); or
- (B) remove Foundation Director(s) who have committed or knowingly assisted in the commission or furtherance of an Adverse Event.

The Emergency Supervisor shall observe, implement, carry out, action, and execute any and all Neutron DAO Approvals within the scope of the Emergency Supervisor's authority with best efforts and in a commercially reasonable and timely manner and in a manner not inconsistent in any material respect with the Neutron DAO Approval(s) appointing and instructing the Emergency Supervisor; *provided, however*, that the Emergency Supervisor shall not be required to expend any of its own funds or incur any liabilities in performing its duties.

10 FUNDS POOLS AND SMART CONTRACT MECHANISMS

10.1 Funds Pools

The funds of the Grant Program shall be divided into three pools:

- (a) a discretionary operating fund of \$754,600 worth of NTRN per year (the "**Ops Fund**");
- (b) the grants funds, initially consisting of the remaining NTRN, with up to 54% of the total NTRN grantable per year (the "**Grants Fund**") (*provided, however*, that greater than 54% of the total NTRN may be grantable in a year if expressly approved by Neutron DAO Approval); and
- (c) the unvested NTRN grants intended as rewards for the Grants Committee (the "**Incentive Fund**"), as well as the necessary USD equivalents where required.

- 10.2 Use of the Ops Fund shall be purely discretionary, as long as the uses comply with the Foundation Company's mission/purposes, and can be held either on-chain or in bank account(s).

10.3 Smart Contracts

The Grants Fund and Incentive Fund will be required to be held in certain Smart Contracts (the “**Designated Smart Contracts**”) that give certain powers to the Neutron DAO and other persons, as follows:

- (a) Uses of the Grants Fund will be subject to a 3-day time lock allowing for a direct veto by the Neutron DAO.
- (b) The unvested portion of the Incentive Fund will be subject to having its vesting paused or terminated by:
 - (i) the Neutron DAO (for the Grant Lead/ Foundation Director(s)’ rewards or any Grant Reviewer rewards); or
 - (ii) the Foundation Director(s) (for Grant Reviewers’ rewards).

The Foundation Director(s), Grant Lead and Grant Reviewers shall also obey any directive of a duly appointed Emergency Supervisor to forfeit unvested or improperly received rewards, whether or not such logic is implemented in smart contracts.

The Designated Smart Contract described in clause ‘(b)’ above may be reasonably varied by the Foundation Director(s) depending on the commercial practicability of designing and implementing the Designated Smart Contracts. To the extent not enforced by the Designated Smart Contracts, the same principles and rules shall nevertheless be observed by the Grant Committee Members.

- 10.4 The Designated Smart Contracts will also allow the Directors of the Foundation Company to relinquish their permissions in connection with a resignation from the Foundation Company. If no human operators remain in the Foundation Company, the Designated Smart Contracts will ensure that control of the funds reverts to the Neutron DAO.
- 10.5 Each Foundation Director or Grant Committee Member holding a Multisig Key shall enter into a Multisignature Participation Agreement substantially in the form of Schedule 2 to the Bylaws.

11 BOOKS, RECORDS, AND REPORTS

11.1 Report

Any Director or designee of a Director shall, upon lawful request, provide an annual report to the Foundation Board of Directors not later than four (4) months after the close of each fiscal year of the Foundation. Such report shall include a balance sheet as of the close of the fiscal year of the Foundation and a revenue and disbursement statement for the year ending on such closing date. Absent a formal lawful request for a specific form of balance sheet or revenue and disbursement statement from the Foundation, the publicly visible blockchain address (and transactions thereto) of Neutron DAO will serve as such a report or financial statement for the Foundation to extent permissible under the Act.

11.2 Inspection of Records

Any person who is a Director or designee thereof of the Foundation Company shall have the right, for any proper purpose and at any reasonable time, on written demand stating the purpose thereof, to examine and make copies from the relevant books and records of

accounts, minutes, and records of the Foundation Company or those of any contractors with respect to their Foundation Company related work and services.

12 NON-PROFIT OPERATION

The Foundation Company will not have or issue shares. No dividends will be paid nor will any part of the income or assets of the Foundation Company be distributed to its members (if any exist), Foundation Directors, Foundation Supervisors, or officers without full consideration (apart from authorized remuneration for services to the Foundation Company). No member (if any exist) of the Foundation Company has any vested right, interest, or privilege in or to the assets, property, functions, or activities of the Foundation Company. The Foundation Company may contract in due course with its members (if any exist), Directors, Foundation Supervisors, and officers and may transfer, remit, reapportion or destroy Blockchain Tokens held in its treasury or distributed to the governance contract or otherwise received from third parties without violating this provision, the Foundation Articles and the Foundation MOA.

13 FISCAL YEAR

The fiscal year of the Foundation Company shall be 31 December or such other date as may be determined by the Foundation Board of Directors.

14 AMENDMENTS

The Bylaws may be altered, amended, or replaced and new Bylaws may be adopted by the Foundation Board of Directors; *provided, however*, that any amendment to the Bylaws that materially changes the Grant Program shall be subject to Neutron DAO Approval before becoming effective.

15 Governing law

The Bylaws shall be governed by and construed in accordance with the laws of the Cayman Islands without regard to the conflicts of laws provisions thereof. Headings herein are for convenience of reference only and shall in no way affect interpretation of the Agreement.

16 Confidential Information

16.1 As used herein:

“Confidential Information” means: (a) information in any form or medium (whether oral, written, electronic, or other) that is determined by Board Resolution to be confidential, non-public or proprietary; (b) all Private Keys; and (c) unless otherwise determined by Board Resolution, all communications and deliberations between, among, or involving one or more Foundation Directors or Foundation Supervisors.

16.2 Except to the extent permitted by Clause 16.3, the Foundation Company and each Foundation Director and each Foundation Supervisor shall not disclose or permit access to Confidential Information other than to the representatives of the Foundation Company (including the Foundation Directors and Foundation Supervisors) who: (i) need to know such Confidential Information for purposes of fulfilling their duties to the Foundation Company; (ii) have been informed of the confidential nature of the Confidential Information;

and (iii) are bound by confidentiality and restricted use obligations at least as protective of the Confidential Information as the terms set forth in this Clause 12.

- 16.3 If any Foundation Director or Foundation Supervisor is compelled by Applicable Law to disclose any Confidential Information then, to the extent permitted by Applicable Law, such person shall: (a) promptly, and prior to such disclosure, notify the Foundation Company in writing of such requirement so that the Foundation Company can seek a protective order or other remedy, or waive its rights under Clause 16.2; and (b) provide reasonable assistance to the Foundation Company, at the Foundation Company's sole cost and expense, in opposing such disclosure or seeking a protective order or other limitations on disclosure. If the Foundation Company waives compliance or, after providing the notice and assistance required under this Clause 16.3, the relevant Foundation Director or Foundation Supervisor remains required by Applicable Law to disclose any Confidential Information, the person subject to such requirement shall disclose only that portion of the Confidential Information that, on the advice of such person's legal counsel, such person is legally required to disclose and, upon the Foundation Company's request, shall use commercially reasonable efforts to obtain assurances from the applicable court or other presiding authority that such Confidential Information will be afforded confidential treatment.

17 ARBITRATION

- 17.1 The Neutron DAO may, by Neutron DAO Approval, resolve that the Foundation Company or any Foundation Director or Foundation Supervisor has, in the view of the Neutron DAO, committed a knowing and intentional breach of any of term of the Bylaws materially relating to the Grant Programs, or has engaged in fraud (committed with scienter) or a violation of applicable criminal law in connection with the Grant Program (such a breach or violation, a "**Breach**" and such a determination by Neutron DAO Approval that such a breach or violation has occurred, a "**Preliminary Breach Determination**").
- 17.2 Following a Preliminary Breach Determination, the Neutron DAO may, by Neutron DAO Approval, appoint one or more representatives to initiate a Dispute against the Foundation Company or one or more Foundation Directors and/or Foundation Supervisors in accordance with this Clause 17 (the "**Neutron DAO Representatives**").
- 17.3 Other than the appointment of an Emergency Supervisor, Clause 17.1 and 17.2 shall be the exclusive means whereby the Neutron Community or any member thereof (including any member of any sub-group thereof) may bring a Dispute against the Foundation Company, Foundation Directors and/or Foundation Supervisors.
- 17.4 Any breach of the Foundation Articles or the Bylaws or other Breach or any controversy or claim arising out of or relating to the same or any dispute arising out of an Exception Response Notice (each a "**Dispute**"), shall be determined and resolved exclusively by confidential, binding arbitration conducted in accordance with the Cayman Islands Arbitration Act, 2012 (the "**Act**") and administered by the Cayman International Mediation and Arbitration Centre Ltd under the CI-MAC Arbitration Rules 2023 (the "**Rules**"). The seat or legal place of arbitration shall be George Town, Grand Cayman. The language to be used in the arbitral proceedings shall be English. The number of arbitrators shall be one.
- 17.5 Unless the parties to a Dispute (including, in the case of a Dispute initiated on behalf of the Neutron DAO, the applicable Neutron DAO Representatives) agree otherwise, the arbitral tribunal shall have the powers applicable under the Act and the Rules including, without

limitation, the power to order on a provisional basis any relief which it would have power to grant in a final award, and to award legal fees and expenses to the prevailing party or parties. The decision and award of the arbitral tribunal shall be enforceable by any court of competent jurisdiction in accordance with applicable laws and international treaties.

- 17.6 Each of the Foundation Company, Foundation Directors and Foundation Supervisors irrevocably consent to the service of process (or any other documents in connection with any arbitral or court proceedings by personal service), delivery at any address specified in the Bylaws or any other usual address, mail or in any other manner permitted by Cayman Islands law, the law of the place of service or the law of the jurisdiction where proceedings are instituted.

18 CODE DEFERENCE

To the extent that the Designated Smart Contracts provide certain powers or benefits to the Neutron DAO and such powers or benefits do not violate Cayman Islands Law or other applicable law, the results of operation of the Designated Smart Contracts shall be determinative of the rights and obligations of, and shall be final, binding upon and not permitted to be contested or disputed by, the Foundation Company, the Foundation Director(s), the Grants Committee Members, the Supervisor(s) and the Emergency Supervisor(s), notwithstanding any contrary or inconsistent provision of the Bylaws or the Foundation Articles.

19 PROVISIONS RELATED TO DISRUPTION EVENTS

- 19.1 As used herein:

"Disrupted Day" means any day on any a Disruption Event occurs or remains continuing.

"Disruption Event" means: (a) any suspension or limitation imposed on the Designated Smart Contracts by the Neutron DAO or any sub-DAO thereof (b) any event that disrupts or impairs the ability of the Foundation Company in general to effect transactions using or referencing the assets of the Foundation Company; or (c) any failure of the Designated Smart Contracts which makes it impossible or impracticable for the Foundation Company to effect or consummate transactions in its ordinary course of business.

- 19.2 If a Disruption Event occurs and remains continuing, the Foundation Directors shall promptly upon becoming aware of it, notify the Neutron DAO, specifying the nature of that Disruption Event and any affected Grants or transactions, and will also give the affected parties information about that Disruption Event as the other party may reasonably require.
- 19.3 An event or circumstance that constitutes or gives rise to a Disruption Event will not, for so long as that is the case, also constitute or give rise to a breach or failure by any Foundation Director to give effect to the other provisions of the Bylaws insofar as such event or circumstance relates to the failure to make any Grants or a failure to comply with any other material provision of the Bylaws, as the case may be.

SCHEDULE 1

Grant Approval Process

The process for the lifecycle of a grant from application to funding are as follows:

1. **Application:** The application fills out an intake form which provides the details of their proposal.
2. **Intake DB:** Their application is added to the Grant Program's internal database and added to the Grant Program evaluation backlog.
3. **Initial Evaluation:** The Grant Lead and at least one Grant Reviewer conduct an initial evaluation to identify and prioritise the most promising applications and to quickly reject any spam or low-effort proposals. Once the initial evaluation is complete, the Grant Lead notifies the applicant if their proposal has been rejected, or provides the timeline for the next steps.
4. **Initial Interviews:** The Grant Lead and one Grant Reviewer interview each applicant at least once. Additional interviews may be requested for more complex projects or projects requesting larger grants.
5. **Scorecard and Evaluation Memo:** The Grant Lead and at least one Grant Reviewer put together an evaluation memo on the grant proposal and fill out an evaluation scorecard to accurately score the project. The Grant Lead also comes to their intended recommendation in collaboration with at least one Grant Reviewer.
6. **Sync:** The entire Grant Committee reviews the application, memo, and scorecard and then comes onto the call to discuss the grant proposal and work out the next steps, whether that means a further interview or a decision if a consensus is reached. If the committee rejects the application, no on-chain vote is made and the applicant is notified. The letter includes honest and helpful feedback to help the applicant grow.
7. **Second Interview:** Some applications may require a second interview, especially if the applicants are asking for a larger sum of funds or building a consumer-facing application on Neutron.
8. **On-chain Vote:** If approval is reached on the sync, then the lead submits an on-chain proposal to the committee to approve the proposed grant. If the proposal is approved, the lead will notify the grantees. If the grant is rejected or overruled, then the lead will notify the grantees of the outcome of the vote along with feedback.
9. **Milestone:** The grantee is funded based on the completion of the relevant milestones and the lead works with one Grant Reviewer to hold grantees accountable and provide further updates to the committee and community as needed. Payouts for all active grantees will be processed in weekly batches to maintain the efficiency of the process and allow Grant Reviewers to ensure availability.

SCHEDULE 2

FORM OF MULTISIGNATURE PARTICIPATION AGREEMENT

MULTISIGNATURE PARTICIPATION AGREEMENT

This Multisignature Participation Agreement (this “**Agreement**”) is being entered into by and between _____ (the “**Grants Committee Member**”) and the Neutron Grants Foundation, a Cayman Islands foundation (the “**Foundation**” and, collectively with the Grants Committee Member, the “**Parties**”) as of the last date set forth on the signature page hereto. Capitalized terms used but not defined herein have the meanings that are assigned to them in the Bylaws of the Foundation (the “**Bylaws**”).

BACKGROUND

1. The Grants Committee Member is a director, employee or independent contractor of the Foundation, and the Grants Committee Member has substantial expertise regarding the technologies referred to herein and in the Bylaws.
2. The Foundation has established the Multisigs for the management and control of certain Blockchain Tokens owned or held by the Foundation.
3. At the direction of and on behalf of the Foundation, the Grants Committee Member wishes to participate in the Multisigs and the Foundation wishes to engage the Grants Committee Member to perform certain duties for the Foundation through participation in the Multisigs. Accordingly, the Foundation and the Grants Committee Member are entering into this Agreement to establish the terms and conditions of the Grants Committee Member’s participation in and use of the Multisigs.

AGREEMENT

In consideration of the covenants and agreements set forth herein, and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the Foundation and the Grants Committee Member hereby covenant and agree as follows:

1. **Definitions. “Active Grants Committee Members”** means, at each time, each person who, as of such time, holds a valid Key and is validly participating in the Multisig in accordance with this Agreement or a similar agreement.
2. **Key Generation.** The Foundation may provide the Grants Committee Member with instructions for generating a pair of private and public keys intended for use in each Multisig. The private key generated by the Grants Committee Member as part of such pair in accordance with such instructions shall be deemed Grants Committee Member’s Key for purposes of participating in the Multisig. From time to time, the Foundation may require and direct that Grants Committee Member generate a new private and public key pair in accordance with the Foundation’s instructions, and, from and after each such time, the new private key generated by Grants Committee Member in accordance with such instructions shall be deemed Grants Committee Member’s for purposes of participating in the Multisig.

3. **Duties of Grants Committee Member.** The Grants Committee Member hereby agrees to adopt, perform, observe and assume the following principles, duties, obligations and responsibilities (the foregoing collectively being the “**Duties**”) in connection with Grants Committee Member’s participation in the Multisig and all other acts or omissions undertaken by Grants Committee Member in connection with this Agreement, including the generation and holding of Grants Committee Member’s Key(s), Grants Committee Member’s receipt and evaluation of Signature Requests, and Grants Committee Member’s making of Signature Decisions.
 - 3.1. Principles. In participating in and using the Multisig and any assets or systems held therein or controlled thereby, the Grants Committee member shall abide by and act consistently with all terms of the Bylaws and the Objects of the Foundation.
 - 3.2. Code Changes. Notwithstanding anything to the contrary set forth herein or any other document or agreement, once users have committed any tokens to or otherwise relied on any deployed smart contract, the Grants Committee Member shall not approve or cooperate with any replacement or modification of such smart contract except consistently with the Bylaws and Objects.
 - 3.3. Coordination Among Grants Committee Members; Multisig Procedures. The Grants Committee Member shall undertake to maintain good relations with and engage in reasonably prompt, frequent and timely consultation and cooperation with the other Active Grants Committee Members on all Signature Requests and other matters arising in connection with or relating to this Agreement and the matters contemplated by this Agreement. The Foundation Company (through the Director(s)) may from time to time establish various standard rules, practices, customs, protocols and procedures related to being a Grants Committee Member or participating in the Multisig, provided that the foregoing are only supplemental to this Agreement and the Bylaws and Objects and do not conflict with, amend, terminate, limit or waive any express provision of or right or duty existing under this Agreement or the Bylaws or Objects (the “**Multisig Procedures**”). Multisig Procedures may be established through course of conduct, informal agreement, ‘rough social consensus’ or other means providing the Active Grants Committee Members with reasonable notice thereof. Each Active Grants Committee Member shall use its reasonable best efforts to comply with any Multisig Procedures of which it is aware.
 - 3.4. Signature Requests & Decisions. The Grants Committee Member (while being an Active Grants Committee Member) and each other Active Grants Committee Member may from time to time receive proposals or requests from the Foundation, other Active Grants Committee Members or the Neutron Community to use such Active Grants Committee Member’s Key to sign transaction messages that are subject to the Multisig (each, a “**Signature Request**”). Each Active Grants Committee Member shall promptly and in good faith consider the purposes, benefits and risks of all Signature Requests of which such Active Grants Committee Member becomes aware, and determine whether to accept such Signature Request (i.e., to sign the relevant transaction message with such Active Grants Committee Member’s Key for broadcast to the relevant Blockchain System) or reject such Signature Request (i.e., refrain from signing the relevant transaction message with such Active Grants Committee Member’s Key for broadcast to the relevant Blockchain System) (each, a “**Signature Decision**”). Each Active Grants Committee Member shall evaluate all

Signature Requests received by such Active Grants Committee Member and make all of such Active Grants Committee Member's Signature Decisions in such Active Grants Committee Member's sole good faith reasonable discretion exercised in accordance with the Bylaws, Objects and this Agreement. Upon reaching a Signature Decision, each Active Grants Committee Member shall promptly notify the other Active Grants Committee Members of such Signature Decision pursuant to the Multisig Procedures or through any other reasonable means. Upon an Active Grants Committee Member reaching an affirmative Signature Decision with respect to a Signature Request (i.e., upon determining that the transaction message proposed in such Signature Request should be signed with Active Grants Committee Member's Key), such Active Grants Committee Member shall promptly sign the relevant transaction message with such Active Grants Committee Member's Key.

- 3.5. Conflicts of Interest. Each Active Grants Committee Member shall use reasonable best efforts to continuously monitor and evaluate such Active Grants Committee Member's personal facts and circumstances (including Active Grants Committee Member's direct and indirect investments and other economic interests in other blockchain-based companies, systems and communities) that could reasonably be expected to give rise to a material conflict of interest on the part of such Active Grants Committee Member in connection with Active Grants Committee Member's participation in the Multisig or any Signature Request or Signature Decision. If an Active Grants Committee Member becomes aware of an ongoing material conflict of interest with respect to such Active Grants Committee Member's participation in the Multisig generally, such Active Grants Committee Member shall resign from participation in the Multisig in accordance with the Multisig Procedures unless such conflict of interest has been disclosed to the Foundation and the other Active Grants Committee Members in reasonable detail, and the Foundation or a majority of Active Grants Committee Members consent to such Active Grants Committee Member continuing to participate in the Multisig notwithstanding such conflict of interest (which consent, for the avoidance of doubt, may be conditioned on appropriate disclosure to the Neutron Community). In the event that an Active Grants Committee Member becomes aware that such Active Grants Committee Member has a material conflict of interest relating to a specific Signature Request, each such Active Grants Committee Member shall either: (a) promptly disclose such conflict of interest to the other Active Grants Committee Members and refrain from further involvement with such Signature Request, including by refraining from making a Signature Decision with respect to such Signature Request; or (b) promptly disclose such conflict of interest to the other Active Grants Committee Members, the Foundation and the Neutron Community together with a reasonably detailed explanation of such Active Grants Committee Member's reasons for continuing engagement with such Signature Request and how the conflict of interest will be mitigated. Notwithstanding the foregoing, the Foundation Director(s) may request that Grant Committee Member refrain from voting on any Signature Request if such grant Committee Member has a conflict of interest, as determined in the sole discretion of the Foundation Director(s)), and, if so requested, the Grant Committee Member shall not vote on such Signature Request or make a related Signature Decision.
- 3.6. Key Security. Grants Committee Member shall securely hold, custody and safeguard Grants Committee Member's Key and immediately notify the Foundation and the Active Grants Committee Members if Grants Committee Member's Key could reasonably be

expected to have been stolen, published or otherwise accessed by, made available to or become known to any other person (including any other Active Grants Committee Member). Grants Committee Members shall not disclose Grants Committee Member's Key to or otherwise share Grants Committee Member's Key with any other person, including other Active Grants Committee Members.

- 3.7. Confidentiality. Unless otherwise determined by the Foundation (in its sole discretion) or as otherwise expressly permitted or required by this Agreement, the terms and existence of this Agreement (including the identities of the Grants Committee Member and other Active Grants Committee Members), as well as all discussions and communications among or involving the Active Grants Committee Members in their capacities as such, shall be deemed "**Confidential Information**". Each Party shall maintain the confidentiality of, and shall not disclose, publish or make available, all Confidential Information: *provided, however,* that the foregoing covenants shall not apply to a particular Party and particular Confidential Information to the extent that: (a) such Confidential Information becomes widely known to the public (other than through such Party's breach of this Agreement); (b) such Confidential Information is required to be disclosed by such Party pursuant to the applicable laws or regulations or orders of the court or other government authorities applicable to such Party (provided that such Party provides the other Parties with written notice sufficiently in advance of such disclosure to afford such Parties the other opportunity to seek a protective order or otherwise limit the disclosure of such Confidential Information); or (c) such Confidential Information is disclosed by such Party to its legal counsels or financial advisors with a need to know such Confidential Information in order to provide advice to such Party regarding the transactions contemplated hereunder, provided that such legal counsels or financial advisors, as the case may be, are apprised of the confidential nature of such Confidential Information and are bound by the confidentiality obligations to the Party with respect thereto similar to those set forth in this Section 3.7. Disclosure of any Confidential Information by a third party who received such Confidential Information from a Party and would, if made by such Party, breach this Section 3.7, shall be deemed shall be deemed a breach of this Section 3.7 by such Party. This Section 3.7 shall survive the termination of this Agreement for any reason. Notwithstanding the above, Grants Committee Member or any other Active Grants Committee Member may, for itself only (and assuming all risks that may arise from such disclosure), make public their status as an Active Grants Committee Member, but not the existence, terms or conditions of this Agreement.
- 3.8. Vacancies; Additional Grants Committee Members. If at any time there are fewer Active Grants Committee Members validly participating in the Multisig than the maximum number of Keys permitted to participate at a given time in the Multisig (a "**Vacancy**"), the Foundation or a majority of the Active Grants Committee Members may propose a person not already party to this Agreement to be designated as a Grants Committee Member to fill such Vacancy, provided that the foregoing complies with any applicable rules or procedures of the Bylaws. Such person shall be designated a Grants Committee Member after (i) the Director(s) provide written consent to such designation; and (ii) such person becomes a party to this Agreement by executing and delivering an additional counterpart signature page to this Agreement. Thereafter, such person shall be deemed be a party to and bound by this Agreement as a Grants Committee Member.

- 3.9. Additional Multisigs. The Foundation may create, and Grants Committee Member may participate in, multiple Multisigs pursuant to this Agreement and, unless otherwise expressly agreed in writing, any Multisig participated in by the Grants Committee Member in connection with the Foundation shall automatically be deemed to be covered by and entered into pursuant to this Agreement.
- 3.10. Ownership of Multisig-Controlled Property. Unless otherwise expressly agreed by Grants Committee Member and the Foundation in writing, the Grants Committee Member shall not be deemed to own or have any right to or interest in any property or assets held or controlled in whole or in by any Multisig or received by Grants Committee Member on account of Grants Committee Member's participation in, any Multisig—including any “airdrops” or other distributions of Blockchain Tokens received or claimable to Grants Committee Member's externally owned account / blockchain address on account of Grants Committee Member's participation in the Multisig. Unless such property is owned by a third party and held by the Foundation in escrow or a similar arrangement, such property shall automatically be deemed to be owned by, and constitute the sole property of, the Foundation. In the event Grants Committee Member receives any property owned or held by the Foundation to Grants Committee Member's externally owned account / blockchain address, Grants Committee Member shall promptly notify the Foundation and remit such property to the Foundation in the manner directed by the Foundation (which may include depositing such property into a Multisig, if so requested).
4. **Term.**
- 4.1. Grants Committee Member's Duties and right to participate in the Multisig shall continue until the earlier of Grants Committee Member's termination of service with the Foundation, death or resignation; *provided, however*, that (a) Grants Committee Member's Duties relevant to the safekeeping and use of Grants Committee Member's Key shall continue until Grants Committee Member has relinquished exclusive possession of such Key to the Foundation or such Key has been de-permissioned from the Multisig; and (b) all obligations and liabilities of Grants Committee Member under the provisions of this Agreement that by their nature are intended to survive a termination of contract shall survive and be continuing, including all obligations and liabilities under this Section 3.7, Section 4 and Section 6 and all duties and liabilities relating to events prior to the termination date.
- 4.2. Upon any material breach of the Bylaws, the Objects or this Agreement by Grants Committee Member, the Foundation or any Director(s) may terminate Grants Committee Member's Duties (other than the surviving Duties referred to in Section 4.1) and right to participate in the Multisig, with or without prior notice, and may de-permission Grants Committee Member's Key from the Multisig or demand that Grants Committee Member relinquish Grants Committee Member's Key to the Foundation. For the avoidance of doubt, any such termination shall require the prior written consent of the Foundation Director(s) and must comply with the Bylaws. From and after any such termination, the Grants Committee Member shall refrain from using Grants Committee Member's Key, acting upon Signature Requests or otherwise exercising any of the rights, powers or privileges of Grants Committee Member under this Agreement or otherwise available to Grants Committee Member in connection with the Multisig.

5. **Indemnification.** The Foundation shall indemnify and defend Grants Committee Member from and against, hold Grants Committee Member harmless against, and compensate and reimburse Grants Committee Member for, any all claims, liabilities, damages and losses suffered or incurred, or reasonably likely to be suffered or incurred, by Grants Committee Member in connection with Grants Committee Member's discharge of the Duties in accordance with this Agreement, except to the extent arising in connection with Grants Committee Member's intentional breach of contract, fraud, gross negligence, or willful misconduct. The foregoing shall be supplemental to, and not limit, any other right or remedy Grants Committee Member may have against the Foundation under other contracts or agreements with the Foundation, such as agreements providing for the indemnification or exculpation of service providers of the Foundation.
6. **Miscellaneous.**
 - 6.1. Governing Law. This Agreement shall be governed by the internal law of the British Virgin Islands, without regard to conflict of law principles that would result in the application of any law other than the law of the Cayman Islands.
 - 6.2. Entire Agreement. This Agreement, together with the other agreements, Bylaws, and other legal instruments referred to herein, constitutes the full and entire understanding and agreement between the Parties with respect to the subject matter hereof, and any other written or oral agreement relating to the subject matter hereof existing between the Parties are expressly voided.
 - 6.3. Disputes.
 - 6.3.1. Any dispute, controversy or claim among or involving the Foundation or any of the Grants Committee Members arising out of or relating to this Agreement, its enforcement, or the breach thereof (a "**Dispute**") shall be finally resolved by confidential, binding arbitration administered by JAMS under its Comprehensive Arbitration Rules & Procedures, or under such procedures as the majority of Active Grants Committee Members shall designate from time to time (the "**Rules**"); provided, however, that any Party to this Agreement may seek injunctive relief in aid of arbitration in order to prevent irreparable harm or preserve the status quo. A copy of the current JAMS rules can be obtained at the following website: <http://www.jamsadr.com/rules-comprehensive-arbitration>
 - 6.3.2. There shall be a single arbitrator, appointed in accordance with the Rules, and judgment upon the award rendered by the arbitrator may be entered in any court having jurisdiction thereof.
 - 6.3.3. The arbitration will be conducted in such venue as may be mutually agreed by a majority of the Active Grants Committee Members, or as may be designated by the Foundation if no such venue exists.
 - 6.3.4. Confidentiality of any such arbitration, including all submissions to JAMS, the arbitrator and the arbitrator's award, shall be strictly maintained.
 - 6.3.5. The Parties to a specific dispute may agree to depart from the Rules, solely for themselves as to such Dispute, by (i) adopting new or different rules to govern the arbitration or (ii)

modifying or rejecting the application of certain of the Rules. To be effective, any departure from the Rules shall require the consent of the arbitrator and shall be in writing and signed by an authorized representative of each such Party.

6.3.6. EACH PARTY HEREBY IRREVOCABLY WAIVES ALL RIGHT TO TRIAL BY JURY IN ANY ACTION, PROCEEDING OR COUNTERCLAIM (WHETHER BASED ON CONTRACT, TORT OR OTHERWISE) ARISING OUT OF OR RELATING TO THIS AGREEMENT, THE TRANSACTIONS CONTEMPLATED HEREBY OR THE ACTIONS OF SUCH PARTIES IN THE NEGOTIATION, ADMINISTRATION, PERFORMANCE AND ENFORCEMENT HEREOF.

6.3.7. The Parties shall have at arbitration all rights, remedies and defenses available to them in a civil action for the issues in controversy, and the arbitrator shall have the authority to award all remedies, legal and equitable, available in a civil action for the claims presented by the Parties, including the authority to award reasonable legal costs and expenses to the prevailing Party. The rights and remedies of the Parties hereto shall be cumulative (and not alternative). The Parties agree that, in the event of any breach or threatened breach by a Grants Committee Member of any covenant, obligation or other provision set forth in this Agreement: (a) Foundation shall be entitled, without proof of actual damages and in addition to any other remedy that may be available to it, to: (i) a decree or order of specific performance or mandamus to enforce the observance and performance of such covenant, obligation or other provision; and (ii) an injunction restraining such breach or threatened breach; and (b) Foundation shall not be required to provide any bond or other security in connection with any such decree, order or injunction or in connection with any related action or proceeding.

6.4. Jurisdiction. Any legal action or proceeding with respect to this Agreement shall be brought in the courts of the British Virgin Islands. By execution and delivery of this Agreement, each Party hereto hereby accepts for itself the jurisdiction of such courts. The Parties hereby waive any objection, including any objection to the laying of venue or based on the grounds of *forum non conveniens*, to the bringing of any such action or proceeding in such jurisdictions. Nothing contained in this Section 6.4 shall affect the right of the Foundation hereto to commence legal proceedings against Grants Committee Member in any other court of competent jurisdiction.

6.5. Successors and Assigns. The terms and conditions of this Agreement shall inure to the benefit of and be binding upon the respective successors and assigns of the Parties. Nothing in this Agreement, express or implied, is intended to confer upon any Party other than the Parties hereto or their respective successors and assigns any rights, remedies, obligations or liabilities under or by reason of this Agreement, except as expressly provided in this Agreement.

6.6. Counterparts. This Agreement may be executed in any number of separate counterparts, each of which when executed and delivered shall be an original, but all of which together shall constitute one and the same instrument. Counterparts may be delivered via facsimile, electronic mail (including pdf or any electronic signature complying with the U.S. federal ESIGN Act of 2000, e.g., www.docusign.com) or other transmission method and any

counterpart so delivered shall be deemed to have been duly and validly delivered and be valid and effective for all purposes.

- 6.7. Amendment. Except as otherwise expressly provided in this Agreement, any term of this Agreement may be amended, supplemented, terminated or waived only with the written consent of the Foundation and a majority of Active Grants Committee Members.
- 6.8. Severability. Any term or provision of this Agreement that is found invalid or unenforceable in any situation in any jurisdiction shall not affect the validity or enforceability of the remaining terms and provisions hereof or the validity or enforceability of the offending term or provision in any other situation or in any other jurisdiction. If a final judgment of a court of competent jurisdiction declares that any term or provision hereof is invalid or unenforceable, the Parties hereto agree that the court making such determination shall have the power to limit such term or provision, to delete specific words or phrases, or to replace any invalid or unenforceable term or provision with a term or provision that is valid and enforceable and that comes closest to expressing the intention of the invalid or unenforceable term or provision, and this Agreement shall be enforceable as so modified. In the event such court does not exercise the power granted to it in the prior sentence, the Parties hereto agree to replace such invalid or unenforceable term or provision with a valid and enforceable term or provision that will achieve, to the extent possible, the economic, business and other purposes of such invalid or unenforceable term or provision.
- 6.9. Waiver; Delays or Omissions. No delay or omission to exercise any right, power or remedy accruing to any Party under this Agreement, upon any breach or default of any other Party under this Agreement, shall impair any such right, power or remedy of such non-breaching or non-defaulting Party nor shall it be construed to be a waiver of any such breach or default, or an acquiescence therein, or of or in any similar breach or default thereafter occurring; nor shall any waiver of any single breach or default be deemed a waiver of any other breach or default theretofore or thereafter occurring. Any waiver, permit, consent or approval of any kind or character on the part of any Party of any breach or default under this Agreement, or any waiver on the part of any Party of any provisions or conditions of this Agreement, must be in writing and shall be effective only to the extent specifically set forth in such writing. All remedies, either under this Agreement or by law or otherwise afforded to any Party, shall be cumulative and not alternative.
- 6.10. Parties in Interest. None of the provisions of this Agreement are intended to provide any rights or remedies to any employee, creditor or other person other than Foundation, Grants Committee Members and their respective successors and assigns (if any).
- 6.11. Further Assurances. Each Grants Committee Member shall execute and cause to be delivered to Foundation such instruments and other documents, and shall take such other actions, as Foundation may reasonably request for the purpose of carrying out or evidencing any of the matters contemplated by this Agreement.
- 6.12. No Partnership. Nothing in this Agreement and no action taken by the Parties in connection with the matters contemplated by this Agreement shall constitute, or be deemed to constitute, a partnership, association, joint venture or other co-operative entity between or involving the Parties. Nothing in this Agreement and no action taken by the Parties pursuant to this Agreement shall constitute, or be deemed to constitute, either Party the agent or

fiduciary of the other Party for any purpose. No Party has, pursuant to this Agreement, any authority or power to bind or to contract in the name of the other Party.

6.13. Rules of Construction.

- 6.13.1. *Gender; Etc.* For purposes of this Agreement, whenever the context requires: the singular number shall include the plural, and vice versa; the masculine gender shall include the feminine and neuter genders; the feminine gender shall include the masculine and neuter genders; and the neuter gender shall include the masculine and feminine genders.
- 6.13.2. *Ambiguities.* The Parties hereto agree that any rule of construction to the effect that ambiguities are to be resolved against the drafting Party shall not be applied in the construction or interpretation of this Agreement.
- 6.13.3. *No Limitation.* As used in this Agreement, the words “include,” “including,” “such as” and variations thereof, shall not be deemed to be terms of limitation, but rather shall be deemed to be followed by the words “without limitation.” The word “or” shall mean the non-exclusive “or”.
- 6.13.4. *References.* Except as otherwise indicated, all references in this Agreement to “Sections,” “Schedules” and “Exhibits” are intended to refer to Sections of this Agreement and Schedules and Exhibits to this Agreement.
- 6.13.5. *Hereof.* The terms “hereof,” “herein,” “hereunder,” “hereby” and “herewith” and words of similar import will, unless otherwise stated, be construed to refer to this Agreement as a whole and not to any particular provision of this Agreement.
- 6.13.6. *Captions.* The captions contained in this Agreement are for convenience of reference only, shall not be deemed to be a part of this Agreement and shall not be referred to in connection with the construction or interpretation of this Agreement.
- 6.13.7. *Person.* The term “person” refers to any natural born or legal person, entity, governmental body or incorporated or unincorporated association, partnership or joint venture.

[Signature page follows]

IN WITNESS WHEREOF, the Parties have executed this Multisignature Participation Agreement as of the date first written above.

NEUTRON GRANTS FOUNDATION

By: _____

Name: _____

Title: Director

GRANT COMMITTEE MEMBER

Signature: _____

Name: _____